

Monthly Variance Memo — May 2026

Prepared for the Board of Directors of Summit Analytics, Inc.

May 1 – May 31, 2026

Period (Month-End)	May 1 – May 31, 2026	Reviewer	Matthew Engerman, Owner
Date Delivered	June 3, 2026, 10:12 ET	Checkpoint	VR-2026-05-0089
Memo Type	Standard Variance & Drivers	Status	Approved — Delivered

Executive Summary

May revenue of \$1,318,000 exceeded budget by \$68,000 (+5.4%), driven by new ARR bookings of \$214,000 against a \$180,000 plan (+19%) on two mid-market expansion deals, partially offset by approximately \$9,000 of timing slippage on a delayed annual renewal that has since closed in early June. Gross profit of \$962,000 was \$24,000 (+2.6%) above plan, but gross margin compressed to 73.0% against 75.0% planned as cloud-hosting and data-egress costs scaled with new-logo onboarding faster than the current committed-use discount tier captured. Operating income of \$95,000 came in \$23,000 (19.5%) below the \$118,000 plan, as sales & marketing ran \$46,000 over to fund the new account-executive ramp and an incremental demand-generation test. Cash closed at \$4.2M with 16 months of runway against a >12-month floor.

Recommendation: The growth story is intact and bookings are accelerating; the revenue beat is real. Two items require Board attention this period — **unit-cost discipline on hosting**, which is a repeating exposure rather than a one-time miss, and **sales efficiency**, where CAC payback has drifted to 14 months against a 12-month target. We recommend authorising a move to a higher committed-use discount tier before next close, and holding incremental demand-generation spend until payback trends back under 12 months.

Performance vs Plan

Metric	Actual	Budget	Variance (\$)	Variance (%)
Total Revenue	\$1,318,000	\$1,250,000	+\$68,000	+5.4%
Cost of Revenue	(\$356,000)	(\$312,000)	(\$44,000)	(14.1%)
Gross Profit	\$962,000	\$938,000	+\$24,000	+2.6%
Gross Margin	73.0%	75.0%	(2.0 pts)	n/a
Sales & Marketing	(\$421,000)	(\$375,000)	(\$46,000)	(12.3%)
R&D / Product	(\$268,000)	(\$280,000)	+\$12,000	+4.3%
General & Administrative	(\$178,000)	(\$165,000)	(\$13,000)	(7.9%)
Total Operating Expenses	(\$867,000)	(\$820,000)	(\$47,000)	(5.7%)
Operating Income	\$95,000	\$118,000	(\$23,000)	(19.5%)
Operating Margin	7.2%	9.4%	(2.2 pts)	n/a

Source: QuickBooks Online GL export 2026-06-03 09:41 ET · Bookings detail reconciled to CRM closed-won report 2026-06-03 09:46 ET. Variances shown as Favorable / (Unfavorable) to operating income. See Audit Trail on page 3.

Variance Drivers

Revenue (+\$68,000 favorable, +5.4%)

- New ARR bookings of \$214,000 beat the \$180,000 plan (+19%), led by two mid-market expansion deals that closed in the final week of the month.
- Partially offset by approximately \$9,000 of timing slippage on a delayed annual renewal. That contract has since closed in early June and will land in the following period.

Gross Margin (73.0% actual vs 75.0% plan, unfavorable)

- Cloud-hosting and data-egress costs scaled with new-logo onboarding faster than the current committed-use discount tier captured, driving cost of revenue \$44,000 over plan.
- **This is the single largest margin item this month, and it is a repeating exposure — not a one-time miss.** It will recur every month at the current commitment tier until the contract is renegotiated.

Sales & Marketing ((\$46,000) unfavorable, (12.3%))

- Driven by onboarding the new account executive — ramp and tooling — plus an unbudgeted demand-generation test.
- Pipeline created supports the spend, but CAC payback extended to approximately 14 months against a 12-month target. Worth watching before committing further incremental spend.

R&D / Product (+\$12,000 favorable, +4.3% — timing)

- A contractor hire slipped from May into June. The underspend is timing-related, not a reduction in roadmap investment; expect normalisation next month.

General & Administrative ((\$13,000) unfavorable, (7.9%))

- Elevated by one-time legal and audit-readiness fees. Expected to return to run-rate in June; flagged for confirmation in the Q3 reforecast so the items are not carried forward in error.

Cash & Forecast Commentary

Cash position closed at \$4.2M. Months of runway at current burn: 16 months, against a >12-month floor — comfortably on track. Net revenue retention held at 108% versus a 105% target, and gross revenue quality is unchanged.

Forward signal: bookings momentum is genuine and the pipeline supports the sales investment. The constraint on this business is not demand — it is unit economics. Both watch items this month sit on the cost side of the equation, and both are addressable within the quarter.

KPI Snapshot

KPI	May Actual	Target	Status
New ARR Booked	\$214,000	\$180,000	Above plan
Net Revenue Retention	108%	105%	Above plan
Gross Margin	73.0%	75.0%	Below plan
CAC Payback	14 months	12 months	Watch
Cash Balance	\$4.2M	—	Healthy
Runway	16 months	>12 months	On track
Headcount (FTE)	38	40	2 open

Risks & Watch Items

- **Gross-margin compression.** Hosting costs are scaling ahead of committed-use discounts, running 2.0 points below plan. Without action this persists and compounds as new logos onboard.
- **CAC payback drift.** The sales & marketing overspend is investable only if bookings efficiency holds. Payback should be monitored monthly against the 12-month target.
- **G&A normalisation.** Confirm the legal and audit-readiness fees are genuinely one-time so the Q3 reforecast does not carry them forward as run-rate.

Recommended Actions

Action	Owner	Target
Right-size the cloud commitment — move to a higher committed-use discount tier	VP Engineering	Before next close
Review demand-generation ROI; hold incremental S&M spend until CAC payback trends under 12 months	Head of Sales	Within 30 days
Confirm and document the one-time G&A items; update the Q3 forecast accordingly	Controller	Q3 reforecast

Audit Trail / Sources

Source	Pulled	Reference
QuickBooks Online — General Ledger Export (Primary)	2026-06-03 09:41 ET	Hash: 7c1e5a4d...b93f
Approved FY2026 Operating Budget	2026-06-03 09:44 ET	Board-approved, rev. 2026-01-15
CRM — Closed-Won Bookings Report	2026-06-03 09:46 ET	Period 2026-05-01 — 2026-05-31
Cloud Provider — Usage & Egress Detail	2026-06-03 09:52 ET	May committed-use tier analysis
Operating Account Statement	2026-06-02 EOD	May-end cash position

Checkpoint reference VR-2026-05-0089 is Engerman Solutions's internal audit identifier for this memo. Every figure above ties to its underlying GL accounts; a full per-line audit trail with account detail and supporting transactions accompanies this memo in the variance workbook. Source materials are retained per the SaaS Online Terms § Retention. Customer may request raw source attachments by emailing info@engermansolutions.com.

Workflow Status

Step	Status	Timestamp
Data validated & ingested	Complete	Jun 3, 09:41 ET
Draft memo generated (AI-assisted)	Complete	Jun 3, 10:12 ET
QA review (human)	Complete	Jun 3, 11:04 ET
Customer approval & delivery	Delivered	Jun 3, 11:38 ET

About this sample. This memo illustrates a typical Engerman Solutions monthly variance deliverable for a single-entity mid-market SaaS company. The company, metrics, and source citations are fictional and provided for demonstration only. A real engagement uses the customer's actual source systems and templates. Sample reflects the Pro plan deliverable scope — variance memo, KPI snapshot, and cash & forecast commentary. See engermansolutions.com for plan-level deliverable detail.